KPPSC PMS IR Master Notes — Q9: US-China Geoeconomic Rivalry & Pakistan's Strategic Predicament

KPPSC PMS • INTERNATIONAL RELATIONS (100 MARKS)
Master Model Solution & Theoretical Deconstruction | 20 Marks Master Answer Guide

Executive Examination Metadata

Parameter	Specification
Target Examination	KPPSC PMS (Provincial Management Service) — Khyber Pakhtunkhwa
Paper & Subject	International Relations (100 Marks Optional — Group 6)
EXAM QUESTIONS LINKED:	• **2022 Q.3:** "The trade war between the US and China has jeopardized the global economic order impacting all regions and states; Pakistan caught between these two global powers is likely to be affected the most. Analyze Pakistan's predicament and suggest policy options to safeguard its national security objectives. (20 Marks)" • **2018 Q.6:** "There may be a possible trade war between the USA and China that would rattle certain American businesses and force consumers to pay more for products. Discuss the term \"trade war\" and elaborate on why Trump was targeting China. (20 Marks)"
Syllabus Section	Part A: International Trade & Sanctions | Part C: US-China Rivalry & Pakistan
Question Allocation	Attempt 1 of 5 Required (20 Marks | Strict 35-Minute Allocation)
Historiographical / Theoretical Thesis	The trade and technology war between the United States and China represents a systemic struggle over the geo-economic architecture of the 21st century, defined by Henry Farrell and Abraham Newman as 'weaponized interdependence.' Through aggressive tariff barriers, export restrictions on advanced semiconductors (CHIPS Act), and financial sanctions, Washington seeks to decouple or 'de-risk' from Chinese supply chains. Caught precariously between these two global economic titans, Pakistan confronts a profound national security predicament: its macroeconomic solvency, export revenues, and multilateral financing remain critically tied to the Western financial sphere (IMF, US, EU), while its infrastructural modernization, energy security, and defense procurement are anchored to Beijing (CPEC). To survive, Pakistan must pursue rigorous non-camp hedging and geoeconomic revitalization.

🎯 Exam Questions Linked

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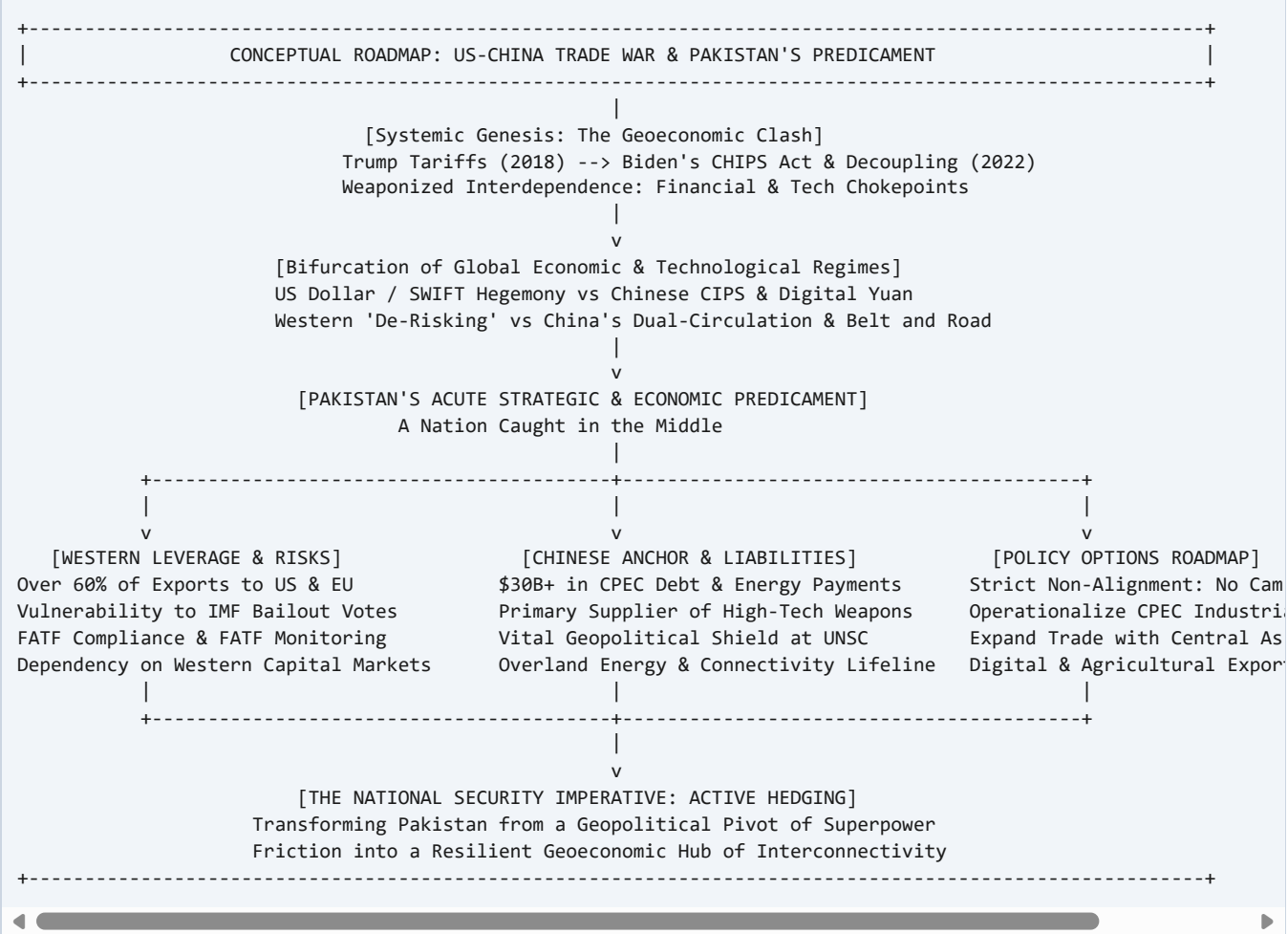
Exam Essential Takeaways

• STRUCTURAL NATURE OF GEOECONOMIC RIVALRY: Transcends simple trade deficits; represents a comprehensive technological and financial conflict encompassing semiconductor supply chains, artificial intelligence, quantum computing, and alternative global reserve clearing currencies.

• WEAPONIZED INTERDEPENDENCE: Farrell & Newman's framework explains how centralized global hubs (SWIFT, US dollar clearing, advanced semiconductor fabrication) are mobilized as coercive geopolitical chokepoints against economic competitors.

> • PAKISTAN'S ASYMMETRIC DUAL EXPOSURE: Pakistan's external economic survival requires Western cooperation (over 60% of exports flow to US/Europe, and IMF bailouts require US Treasury approval), yet its long-term infrastructural growth and military supply lines are unconditionally dependent on China ($30B+ CPEC liabilities).
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> • POLICY OPTIONS FOR NATIONAL SECURITY: Avoid binary alliance entrapment; operationalize CPEC Special Economic Zones (SEZs) for export diversification; accelerate trade integration with Central Asia (TAPI, CASA-1000); and leverage geoeconomics to position Pakistan as an indispensable connectivity corridor rather than a geopolitical frontline.

Conceptual Thematic Map & Strategic Roadmap



Analytical Dimensions & Systemic Shifts Matrix

Dimension / Arena	Strategic Mechanism / Driver	Systemic Impact on Global Order
2018: Inception of US-China Tariff War	Trump administration imposed tariffs on over $350B of Chinese imports under Section 301.	Ended decades of economic integration, establishing trade warfare as an instrument of great-power competition.
2019–2020: Targeting Huawei & 5G Infrastructure	US placed Huawei on Entity List, pressuring global allies to ban Chinese 5G telecommunications.	Marked the formal transition from trade deficits to tech-nationalism and digital sovereignty contestation.
October 2022: The Biden CHIPS & Science Act	Enacted sweeping export bans on advanced semiconductor lithography and AI chips to China.	Jake Sullivan declared a 'small yard, high fence' doctrine, seeking to permanently suppress Chinese advanced computing.
2023: Western Pivot to 'De-Risking'	G7 Hiroshima Summit adopted 'de-risking rather than decoupling' rhetoric.	Formalized the strategic diversification of critical mineral and tech supply chains away from Chinese monopolies.

Dimension / Arena	Strategic Mechanism / Driver	Systemic Impact on Global Order
Present: Pakistan's Macroeconomic Squeeze	IMF bailout reviews heavily scrutinize Chinese energy debt repayment and CPEC financial flows.	Exposed the acute financial vulnerability of intermediate developing states caught between competing superpowers.

The 20-Mark Master Model Essay (~650-700 Words)

Introduction: The Geoeconomic Transformation of Great Power Rivalry

The escalating trade and economic confrontation between the United States and the People's Republic of China represents far more than an ordinary dispute over bilateral trade imbalances or currency valuations. In the lexicon of contemporary international political economy, it constitutes a structural conflict over the control of the technological, financial, and supply-chain foundations of the 21st-century international order. Conceptualized by political scientists Henry Farrell and Abraham Newman as 'weaponized interdependence,' the globalized economic network has been transformed into a battleground where sovereign states leverage physical and digital network hubs for coercive geopolitical advantage. From the sweeping tariffs initiated in 2018 to the aggressive export controls of the 2022 CHIPS and Science Act, Washington has sought to 'de-risk' from Chinese manufacturing and constrain Beijing's technological ascendance. This systemic economic bifurcation has sent shockwaves through global markets, placing developing intermediate powers in profound jeopardy. Among these, Pakistan occupies the most precarious position—caught in an asymmetric vice between its vital Western financial lifelines and its existential strategic alignment with China.

The Mechanics of Geoeconomic Conflict: Weaponized Interdependence

The instruments of the contemporary US-China economic clash are multi-dimensional. Washington has increasingly deployed its structural financial power—the unrivaled dominance of the US dollar in foreign exchange reserves and the Western oversight of the SWIFT interbank messaging system—to impose extraterritorial secondary sanctions. In the high-technology arena, the Biden administration's 'small yard, high fence' strategy explicitly prohibits the export of advanced semiconductor lithography, electronic design automation software, and artificial intelligence hardware to Chinese enterprises. In retaliation, Beijing has accelerated its 'dual-circulation' economic strategy, prioritizing domestic technological self-reliance while mobilizing its massive Belt and Road Initiative (BRI) network to secure alternative supply lines and promote de-dollarization through the Cross-Border Interbank Payment System (CIPS) and bilateral local-currency swaps.

Pakistan's Dual Predicament: Caught Between Two Titans

For Pakistan, this geopolitical polarization strikes directly at the heart of national security. Pakistan suffers from an acute, structural dual-dependence. On one side stands Pakistan's macroeconomic solvency and commercial viability, which remain tethered to the Western financial sphere. Over 60% of Pakistan's total exports—predominantly textiles—are absorbed by consumer markets in the United States and the European Union. More critically, Pakistan's perennial balance-of-payments crises necessitate continuous bailout packages from the International Monetary Fund (IMF) and the World Bank, where Washington exercises decisive voting power. Conversely, on the other side stands Pakistan's long-term strategic, military, and infrastructural survival, which is unconditionally anchored to China. Under the $62 billion China-Pakistan Economic Corridor (CPEC), Beijing has modernized Pakistan's highway networks, expanded Gwadar Port, and alleviated catastrophic national energy deficits. Furthermore, China provides over 75% of Pakistan's advanced military hardware. When Washington pressures Islamabad to restrict Chinese investments, or when IMF negotiations scrutinize payments to Chinese Independent Power Producers (IPPs), Pakistan faces an existential squeeze.

Policy Options to Safeguard Pakistan's National Security

To navigate this treacherous landscape, Pakistan must abandon obsolete Cold War paradigms and execute a sophisticated policy of geoeconomic hedging. First, Pakistan must uphold an absolute principle of non-camp alignment, rejecting any diplomatic or economic pressure to join exclusive anti-China or anti-Western coalitions. Second, Islamabad must operationalize CPEC Phase-II, swiftly developing Special Economic Zones (SEZs) by offering competitive tax incentives to attract Chinese manufacturing firms seeking to relocate production outside China to evade US tariffs. Third, Pakistan must diversify its external trade architecture by aggressively pivoting toward regional connectivity—integrating with the Shanghai Cooperation Organization (SCO) and unlocking trade corridors with Central Asian republics (via the Trans-Afghan railway and CASA-1000). Finally, Pakistan must implement radical domestic macroeconomic reforms to

boost domestic tax mobilization and export competitiveness, thereby weaning itself off perpetual, politically compromised IMF structural adjustment loans.

Conclusion: From Geopolitical Frontline to Geoeconomic Bridge

In conclusion, the US-China trade war has irreversibly transformed the global economic order from an era of frictionless neoliberal integration into a fractured landscape of techno-nationalism and weaponized trade. For Pakistan, continuing to treat national security as an exclusively military-territorial domain is a recipe for fiscal collapse. National security in the 21st century is fundamentally geoeconomic security. By rigorously preserving its strategic partnership with Beijing while proactively safeguarding its commercial and institutional ties with the West, Pakistan can transform its geographic location from a vulnerable frontline of superpower proxy competition into an indispensable, resilient transit bridge connecting Eurasian energy with global maritime commerce.

Theoretical Perspectives & Quotable Thesis Arguments

Theorist / Scholar	Theoretical School	Exact Quotable Thesis Argument
Henry Farrell & Abraham Newman	*Weaponized Interdependence*	"Globalized networks do not just generate mutual vulnerability; they create topological asymmetry. States that control central network hubs can weaponize informational and financial clearing nodes to coerce competitors and enforce global compliance."
Dani Rodrik	*The Globalization Paradox*	"Hyper-globalization has collapsed because it proved incompatible with national sovereignty and domestic democratic priorities. The US-China conflict represents the violent reassertion of national economic security over global efficiency."
Robert O. Keohane	*Power and Interdependence*	"Asymmetry in interdependence is a prime source of power. When a smaller state's financial solvency depends on one bloc while its military survival depends on another, it experiences the most acute vulnerability in international politics."
Shahid Javed Burki	*Pakistan's Economic Dilemma*	"Pakistan's greatest foreign policy challenge in the 21st century is managing its external economic balance: maintaining access to Western markets and international lenders while securing Chinese investments under CPEC."
Graham Allison	*Destined for War*	"The trade war is not about trade; it is about who will dominate the technologies that will define global power in the coming century. Smaller states caught in this vortex must hedge ruthlessly or risk economic ruin."